WK 5 / 12

The Graham checklist

Seven tests from Graham's 1972 revision, one idea underneath them — and the evening we argue with a dead man's checklist

We grade decisions, not outcomes.

Education, not advice.

0:00 — HARVEST

Where did Mr. Market turn up this week?

Chapter 8, read

One line each: what stuck from Graham's manic partner — and from Zweig's commentary?

Caught in the wild

Notifications, red flashes, urgent headlines. Best screenshot gets pinned beside the Wall of Resulting.

Books-page surprise

One number per table that surprised you on your company's books — and what it asked.

0:10 — THE IDEA UNDER EVERYTHING

Margin of safety

THE BRIDGE

Rated for **30 tonnes**.
Carries
10-tonne lorries.

Nobody knows the true load — so the gap is built in.

THE INVESTMENT

The gap between what you pay and what the business is worth.

It's there because you will sometimes be wrong.

Every test on tonight's card is a different way of building in that gap.

0:20 — WALK THE CARD

Seven tests, seven questions

1 Size

Big enough to survive a bad year?

2 Strength

Pays its bills; mortgage smaller than the cushion?

3 Stability

Never lost money?

4 Dividends

Handed over real cash for a decade?

5 Growth

Modest growth that actually happened?

6 P/E

Not paying many years of profit up front?

7 P/B

Something solid behind the price?

All seven must pass.
A pass earns a reading — not a purchase.

FOUR RED STAMPS ON THE CARD

ADAPTED

Adapted — and saying so out loud

Test	Graham asked	Free data holds	We ask
3 · Stability	10 years of earnings	5 years	5 years, all positive
4 · Dividends	20 years unbroken	~15 years	10 years unbroken
1 · Size	$100m sales (1971 $)	—	$800m (×~8 inflation)
5 · Growth	+⅓ over 10 years	5 years	+9% — pro-rated to our window

Honest data use means saying where your data runs short. A tip-seller's spreadsheet never tells you where its numbers ran out.

0:35 — BEFORE ANYONE SEES THE SCREEN

JOURNAL FIRST

Predict first

On your slip: which three companies in our universe will pass all seven tests?

Name. Date. Fold it.

A decision written down before the outcome — the only kind we can grade.

0:40 — LIVE

Run the screen

```
[ your course URL ]/screen
```

Tally boxes → survivors → near misses → open the slips.

Expect very few survivors. Graham built these tests to reject — and a universe of famous giants is where they bite hardest.

Every ✓ and × can be explained from the books page. That is the standard.

“Many shall be restored that now are fallen, and many shall fall that now are in honor.”

Horace, Ars Poetica — the epigraph Graham & Dodd chose for Security Analysis.

Graham's own screen passed just 5 of the 30 Dow stocks in 1970 — and two of the five, Anaconda and Woolworth, went badly within years. Passing earns a reading, not safety.

Security Analysis (1940 ed.), epigraph

0:55 — PAIRS: THE CLOSEST, AND ONE FAMOUS FAILURE

Argue with the checklist

1 · Which tests failed?

In plain words. Read the numbers off the hover detail, then the company's books page.

2 · Right, or out of date?

Is the test fair to this company in 2026 — or a 1972 rule meeting a business Graham never saw?

3 · Bad, or just not defensive?

Does failing make it a bad investment — or simply not one for the defensive investor?

Each pair takes the best scorer on the screen — a survivor, a near miss, or if none, the highest score — plus one famous failure. One sentence per pair; the course takes no side.

WHEN THEY GET STUCK

Three modern frictions

Buybacks

A company buying back its own shares shrinks book equity — so P/B balloons even when nothing is wrong.

Intangibles

Brands, software, patents barely appear on the balance sheet — Zweig says so himself (p. 374). Book value misses much of what a modern firm owns.

Banks show “–”

Graham's strength test is written for industrial companies; for banks he applied only the price tests. So test 2 is skipped, not failed — and they're scored out of six.

What no screen can tell you

Management

Can the people running it be trusted with your money?

The moat

Can competitors take its profits away?

What's next

Every number on the screen is history.

Why

The screen shows what. Never why.

The screen narrows the list. Reading decides. Zweig's rule: read at least five years of the company's own reports — the books page — or, in his words, you're "too defensive to be buying individual stocks at all."

1:25 — HOMEWORK

Read, pre-mortem, keep the card

1 · Read chapter 14

Graham's text and Zweig's commentary — p. 347 and p. 367 in the course copy.

2 · A pre-mortem

Pick one survivor or near miss. “It's three years from now and this went badly. What most likely happened?”

3 · Keep the card

Page two of your takeaway kit. It prints from the same rules the screen runs.

“We grade decisions, not outcomes.”

GO DEEPER — FREE, FOREVER, OPTIONAL

The Economy 2.0

The free university text, tracking tonight's ideas:

MICRO UNIT 7 The firm and its customers — what lets a business keep its profits

MICRO UNIT 10 Market successes and failures — why price and value can drift apart

MACRO UNIT 6 The financial sector — why banks need different tests

books.core-econ.org/the-economy

Education, not advice.